

Foundations of Economics

Universidad Carlos III de Madrid · International School

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Exams	December

1. The course

This course is an introduction to economics. It assumes no previous study of the subject and no mathematics beyond secondary school.

The aim is to cover the fundamentals properly rather than to cover everything. We build the core of microeconomics—how buyers and sellers decide, how markets reach equilibrium, when markets work well and when they fail, and what governments can do about it—and then turn to how economies are measured and why some countries are far richer than others. Money, business cycles and stabilisation policy are not covered.

2. What you should be able to do by the end

- Use the ideas of optimization, equilibrium and empiricism to analyse a decision.
- Derive demand and supply curves, and predict how a market responds to a shock.
- Explain why competitive markets are efficient, and identify when they are not.
- Distinguish correlation from causation, and say what evidence would settle a question.
- Read and interpret GDP, inflation and income data.
- Set out the main competing explanations for why some countries became rich.

3. Textbook

Daron Acemoglu, David Laibson and John A. List, *Economics*, 3rd edition (Global Edition), Pearson.

A Spanish edition, *Economía* (Antoni Bosch), translates the first edition. Chapters and sections correspond, so **either book works**; the two are paginated differently, and the calendar gives page numbers for both.

4. Assessment

Component	Weight	Coverage
Problem sets	20%	Set through the term
Midterm exam	20%	Date and coverage announced in class
Final exam (December)	60%	The whole course

How the problem sets and exams fit together

All three come from the same place: **the end-of-chapter exercises**. I will point out in class which ones matter, or hand them out directly; those become the problem sets, and the exam questions are adapted from the same pool.

So there are no surprises: if you can do the problem sets, you are prepared. Work the exercises as we go, rather than returning to them in December.

5. How to work in this course

- **Read the chapter before the session**, even quickly. The class assumes you have seen the vocabulary once.
- **Do the highlighted exercises in the week they are set**. They are the problem sets, and they are the exam.
- **Ask early**. If one session does not make sense, the next will not either. Come and say so before the midterm rather than after it.

6. Calendar

Each session covers the core of the chapter or chapters listed, with reading for both editions.

Session	Topic	Ch.	English pp.	Spanish pp.
1	Principles of economics; how economists work	1–2	40–79	2–41
2	Optimization: doing the best you can	3	80–97	42–59
3	Demand, supply and equilibrium	4	98–123	60–85
4	Consumers and incentives	5	124–151	86–113
5	Sellers and incentives	6	152–181	114–143
6	Perfect competition and the invisible hand	7	182–207	144–169
7	Trade	8	208–235	170–197
8	Externalities and public goods	9	236–263	198–225
9	The government in the economy: taxation and regulation	10	264–289	226–251
10	Markets for factors of production; social economics	11, 18	290–311, 442–463	252–273, 404–425
11	Measuring the economy; aggregate incomes	19–20	464–515	426–477
12	Economic growth	21	516–549	478–511
13	Why isn't the whole world developed?	22	550–573	512–535

Sessions run in this order. The midterm takes one of the fourteen weeks; the date will be announced in class.